

Case Study

Esports: Creating New Sports from Online Gaming



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The 2018 League of Legends World Championship¹ final was held in Incheon Munhak Stadium, South Korea, which seats almost 49,000 people. The stadium was packed to capacity. Announcers wore the same business attire as traditional sports announcers; the US stream through Twitch and YouTube was sponsored by MasterCard and State Farm Insurance.

The opening ceremony featured an elaborately staged K-Pop routine, rivalling the opening of an Olympic event, except the singers and dancers blended the digital and physical, featuring digital enhancements.²

Like traditional sports, players eventually arrived. Unlike traditional sports, most players noticeably did not have the physique associated with athletes.³

The finale featured two five-player professional teams, Europe-based Fnatic and the Chinese team Invictus Gaming. After the opening, the players sat down in front of computer monitors.⁴ Announcers explained the various strategic advantages of both teams. Eventually, the young men played the videogame while thousands watched and cheered. Just under 100 million people around the globe watched on over 30 platforms and TV channels in 19 different languages. About a half hour later, defying the odds, Invictus Gaming won, 3-0. The \$6.45 million⁵ prize pool was spread among 24 participating teams, with a 37.5% share to Invictus Gaming.

Stage 1. Competitive Gaming Before the Birth of esports

Videogames were invented in 1958, when somebody hooked up two controllers to an oscilloscope and allowed teenagers to play Pong at the World's Fair. For decades, the games were self-contained.⁶ Two or more people might play a fighting game on the same computer, or they might play the same game on two different computers competing for a top score, but they virtually never played against one another on networked computers.

As the modern internet became more widespread,⁷ online games evolved. Newer games allowed people to play against one another over the internet, but the slow dial-up modems, in use throughout most of the world at the time, often made for a miserable experience. Players could be ambushed and killed by a player with a faster internet connection before they even knew the other player existed. Despite this drawback, the games thrived. Rules for these early games were

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- 1 See the highlights of the 2018 League of Legends Championship to get a feeling of how the tournaments are held: https://youtu.be/F0me_UsoAqI. The finals location changes every year; the 2019 final was held in Paris.
 - 2 There is a substantive push to add esports as a sport to the Olympic Games. However, there are several barriers, the most substantive being the ownership of the specific games. According to longstanding Olympic Games rules no company may own an eligible game.
 - 3 While outside the scope of this case, performance-enhancing drugs – especially amphetamines tied to higher concentration rates, including Adderall – have become a substantial problem in esports. This is an open secret in the industry, where “energy drinks” are common sponsors.
 - 4 LoL Esports. (2018, November 3). FNC vs IG | Finals Game 1 | World Championship | Fnatic vs. Invictus Gaming (2018). Retrieved from <https://www.youtube.com/watch?v=xZLFVV2qxQQ>
 - 5 All financial figures are in US dollars.
 - 6 Networked games existed, most notably Empire on the PLATO educational system, which theoretically supported up to 1,000 concurrent players, but they were unavailable to the general public.
 - 7 The internet itself dates back to the late 1960s, but the emergence of the world wide web and web browsers, in the 1990s, caused a push for faster and less expensive home connections.

reasonably straightforward: “Kill your enemies. Kill your friends’ enemies. Kill your friends,” read an ad from Bungie Software.⁸

In the late 1990s, bandwidth and computer processing power quickly increased, while prices decreased. The stage was set for lifelike games in which people competed over the internet. In 1997, the multiplayer game *Ultima Online* was released by Origin Systems, followed in 1998 by Blizzard’s *Starcraft*.

The first “professional” game tournament was held in the United States. Dennis “Thresh” Fong was the first professional game champ, winning the 1997 Red Annihilation Quake Tournament sponsored by Microsoft. The prize was a Ferrari convertible given by id Software, creator of first-person shooter *Quake*.⁹

Sponsored by computer chip makers, the Professional Gamers League (PGL) was formed in 1997, but lacking a sustainable revenue model, it was game over for the league in 1998. Despite the dearth of leagues, online game competitions were considered a cultural event among gamers. Game developers treated them as a marketing tool rather than a standalone profitable business.

Starting in the mid-1990s, the government of South Korea made a strategic decision to encourage the widespread adoption of broadband internet. By 2000 Korea had, by far, the highest per capita and absolute broadband penetration rate in the world.¹⁰ With its better technology infrastructure, the country became a pioneer in professional online game competitions. Gamers often played together in internet cafes (“PC Rooms”) which provided fast computers and internet connectivity at affordable cost, \$1 to \$1.30 per hour. The first competitive gaming league, the Korea Professional Gamers League (KPGL), was launched in 1997, imitating the PGL in the US. The league held a nationwide competition in KPGL franchised internet cafes to attract more gamers. Top players moved from one league to another to win prize money. They became superstars, admired and idolized by peer gamers. The competitive gaming tournaments – going under the moniker “esports” – hadn’t yet matured into an economic force, but became a powerful cultural event among game enthusiasts.

The tournaments for competitive gaming in the early days were often referred to as the Wild West. Leagues were organized sporadically and often failed to recognize the intellectual property of game publishers – violating copyrights and trademarks while making little or no effort to purchase rights – hence some publishers were hostile to these events.

Stage 2. From Players to Spectators

Traditional media saw the untapped popularity of online gaming as a spectator sport. They started organizing and broadcasting more professional. The broadcasts attracted more fans, who learned

⁸ <https://www.nytimes.com/1998/10/29/technology/i-don-t-know-who-you-are-but-you-re-toast.html>

⁹ First-person shooter games are played from a first-person perspective, with players appearing to hold weapons and shoot directly at others. First professional videogamer. Retrieved 3 February 2020, from

<https://www.guinnessworldrecords.com/world-records/first-person-to-be-a-professional-video-gamer/>

¹⁰ Ovum Consulting. (2009). *Broadband Policy Development in the Republic of Korea* [PDF]. Retrieved from http://www.infodev.org/infodev-files/resource/InfodevDocuments_934.pdf

to play the games, creating more gamers, and launching a virtuous cycle that became the modern esports movement.

To prod things along, the Korean government proactively engaged the industry by creating the Korean esports Association (KeSPA) in 2000 under the Ministry of Culture, Sports, and Tourism. The organization exists to build an ecosystem to encourage the evolution of sustainable business models for the esports industry. Korean conglomerates and IT companies created professional teams, hired star players, and established management and training akin to traditional sport teams. Unlike traditional sports, the teams were not franchisees of any league. Most early esports were open tournaments rather than a franchised team model.

The unanticipated popularity of esports in Korea made game publishers like Blizzard and Activision see the business potential of their games beyond the traditional gaming industry. Up to that time, game makers had focused mainly on creating and selling exciting games to play. They began to realize there was a huge untapped market of people who wanted to *watch* others play. Just as with traditional sports, spectators found it fun to watch and learn new tactics from pro players. Watching online games created value as a spectator sport: the games are fun to watch. However, in much the same way that boxing fans find watching a match fun but would never step inside the ring, not all spectators were interested in playing.

In response, publishers started to design games with esports in mind. Adopting key elements of popular sports leagues, they focused on making games as fun to watch as they were to play. Rules were simplified so non-gamers could understand and enjoy the games. Like traditional sports, most esports focus on skill and strategy rather than luck. The drama and skill of the pro players thrill audiences, who cheer the players on much like they would players at a traditional sporting event.

Stage 3. Emergence of a New Industry

The success of spectator sports is largely tied to broadcasting that amplifies viewership by broadcasting competitions from arenas to houses and bars all around the world. Esports in the 2000s grew with the livecasting of games by traditional sports media like ESPN and gaming channels covering esports tournaments. However, it was a new media platform – livestreaming by individual streamers – that spawned the widespread popularity of esports. Streaming online games initially required expensive capture cards (computer hardware), complex software, fast networks, high bandwidth, and hours of tweaking computers to set up.¹¹ Even though streamers managed to broadcast gameplay, the quality was suboptimal: broadcasts were unreliable, with poor video quality and lags.

In 2011, Justin.tv, a website enabling users to livestream content, spun-off Twitch¹² specifically to “screencast” online games, enabling fans to watch and interact with players and streamers. With little technical expertise, anyone could easily become a streamer, broadcasting from their home

11 Popper, B. (2013). Field of streams: How Twitch made video games a spectator sport. Retrieved 3 February 2020, from <https://www.theverge.com/2013/9/30/4719766/twitch-raises-20-million-esports-market-booming>

12 In August 2014, Amazon acquired Twitch for \$970 million.

and enabling millions of viewers to enjoy watching games. Thanks to the fast internet connections that were becoming ubiquitous, lag was minimal.

Livestreaming provides an unprecedented experience for viewers, unlike anything from traditional media. Twitch streamers have their own chatrooms where users connect with one another. This creates a virtual stadium where viewers all around the world watch matches together, supporting the players and discussing their performance. These virtual arenas foster participation and engagement, and have created an enormous and passionate community of gamers.

Users can follow streamers, create personalized screens of gamers to follow, update and share information, and communicate through direct messages. With these social networking features, new media platforms like Twitch and YouTube Gaming have played an important role in expanding the esports audience.

Streaming a game while playing and commenting has become big business. Gaming streamers are financially incentivized via profit-sharing from advertisements and subscription sales plus donations and sponsorships received directly from users and companies. As of fall 2019, Fortnite streamer Tyler “Ninja” Blevins had about 22.5 million followers. His introductory Twitch video has been viewed 480 million times. He earns about \$500,000 per month from advertisements and endorsements.¹³ “I’m very goofy; if you ever watched any of my streams or YouTube videos, I do impressions and stuff like that all the time and just crazy shenanigans. I think the combination of that [game skill and entertainment] is really fun to watch,” says Blevins.

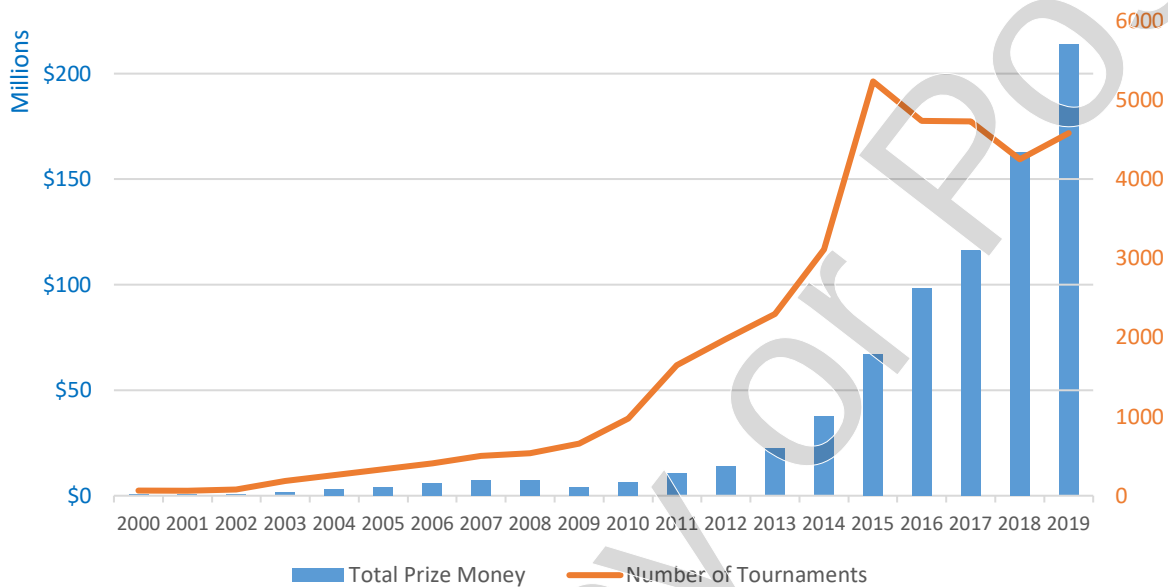
Esports in 2019

“It was honestly, like, surreal,” said Kyle “Bugha” Giersdorf about his Fortnite tournament win. “But at the same time I had no emotion, honestly, because I didn’t really understand what was happening. But, it was crazy.” His mother adds, “He’s been playing video games since he was 3, so this is his passion. He told us he could do this, he put his mind to it and he did it.” Kyle is 16 years old. On Sunday, July 28, 2019, he won the \$3 million grand prize at the Fortnite World Cup in New York City.¹⁴

In 2019, total esports viewership reached 454 million from 4,793 tournaments, with total prize money of \$218 million (Exhibit 1). The growth in viewership, revenue (Exhibit 2), and investment shows that esports has grown from a gaming event into mainstream entertainment. Esports is an entirely new industry.¹⁵

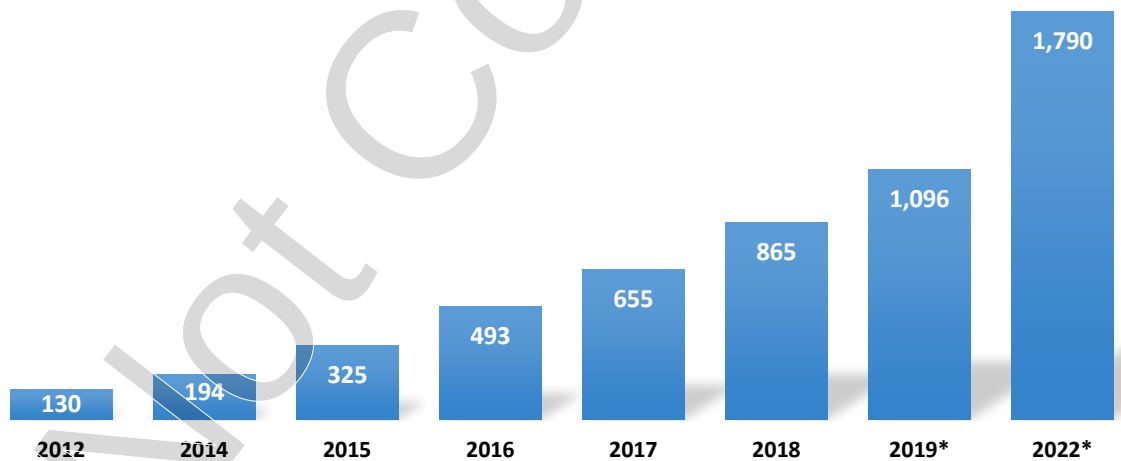
Exhibit 1. Growth of Esports: Total Prize Money and Number of Tournaments

- 13 Kim, T. (2018). Tyler ‘Ninja’ Blevins explains how he makes more than \$500,000 a month playing video game ‘Fortnite’. Retrieved 3 February 2020, from <https://www.cnn.com/2018/03/19/tyler-ninja-blevins-explains-how-he-makes-more-than-500000-a-month-playing-video-game-fortnite.html>
- 14 Jr., T. (2019, July 30). The teen Fortnite champ who just won \$3 million practices 6 hours a day-even on school days. Retrieved January 08, 2021, from <https://www.cnn.com/2019/07/30/teen-fortnite-champ-kyle-bugha-giersdorf-who-won-3-million-practices-6-hours-a-day.html>
- 15 Reyes, M. (2019). Esports Ecosystem Report 2020: The key industry players and trends growing the esports market which is on track to surpass \$1.5B by 2023. Retrieved 28 January 2020, from <https://www.businessinsider.com/esports-ecosystem-market-report?IR=T>



Source: esportsearnings.com

Exhibit 2. Revenue of the Global Esports Market (US\$ million, 2012–2020)¹⁶



An ever-expanding number of fans can watch an ever-expanding number of tournaments in person, on TV, or online. Viewing matches between elite players is increasingly popular, much like viewing matches between other professional athletes. Fans aren't limited to aspiring players: according to analysts at Newzoo, 42% of esports viewers do not play the games they watch.¹⁷ In-person tournaments are fun, typically played in large stadiums featuring dramatic lighting and stage shows. Many esports tournaments are held in multi-purpose stadiums such as Staples

¹⁶ Global esports market revenue 2022. (2020). Retrieved 27 January 2020, from <https://www.statista.com/statistics/490522/global-esports-market-revenue/>

¹⁷ Jenny, S., Keiper, M., Taylor, B., Williams, D., Gawrysiak, J., Manning, R., & Tutka, P. (2018). eSports venues: A new sport business opportunity. *Journal of Applied Sport Management*. 10: 34-49. 10.18666/JASM-2018-V10-I1-8469.

Center in Los Angeles and Wembley Arena in London. But new stadiums primarily for esports are increasingly being built by cities and private entities. In 2018, the Luxor Hotel in Las Vegas opened the 30,000 sq. ft. HyperX esports arena (Exhibit 3).

Exhibit 3. HyperX Esports Arena



Source: <https://www.hyperxgaming.com/france/us/experience/articles/hyperx-esports-arena>

Wall Street sees massive potential. “In 2018, we estimate the global monthly audience for esports will reach 167 million people, based on data from NewZoo, larger than that of Major League Baseball and the National Hockey League. By 2022, we estimate the esports audience will reach 276 million, similar in size to the NFL today. Unlike many existing pro sports, the esports audience is young, digital, and global: more than half of esports viewers are in Asia, 79% of viewers are under 35 years old, and online video sites like Twitch and YouTube have a larger audience for gaming alone than HBO, Netflix, and ESPN combined,” Goldman Sachs analysts wrote in an October 2018 research note.¹⁸

Esports Economy and its Future

Every year since 2013, Katowice, a centuries-old coal-mining city in Poland, has attracted esports fans from all across the world to the Intel Extreme Masters (IEM), one of the most popular esports tournaments. For IEM, the Katowice tournaments is worth \$24.5 million in annual advertising value.¹⁹ For Katowice, the events have revitalized the old industrial town, and boost the local economy when over 170,000 people visit the city of 300,000. “IEM means income for the local people: hotels, people [lease] their flats, restaurants, taxi drivers and local entrepreneurs. IEM is one event which helps hotels and conference facilities develop,” says Marcin Krupa, the incumbent mayor of Katowice.²⁰

Like Katowice, other small- to medium-sized cities have welcomed the opportunity to stimulate local tourism through esports events. In 2019, Raleigh, the second largest city in the US state of North Carolina, hosted the Rainbow 6 Siege tournament run by ESL and Ubisoft. The city reported

18 Goldman Sachs Research. *The World of Games, esports*. October 12, 2018. Available from <https://www.goldmansachs.com/insights/pages/infographics/e-sports/report.pdf>

19 Bräutigam, T. (2018). City of Katowice made €22 million in advertising value from IEM. Retrieved 23 January 2020, from <https://esportsobserver.com/report-city-of-katowice-made-22-million/>

20 Winkie, L. (2019). Small towns are building esports meccas. Retrieved 23 January 2020, from <https://venturebeat.com/2019/08/17/small-towns-are-building-esports-meccas/>

that the event, Six Major Raleigh, generated \$1.45 million in direct economic impact for Greater Raleigh, with over 1,000 job inquiries and 2,600 daily attendees, 70% of whom travelled from other states and countries.²¹

Esports creates a growth opportunity for various industries. For example, some multiplex cinemas suffering declining ticket sales are converting traditional cinemas into esports arenas that host and stream esports events. IMAX announced plans in early 2020 to livestream esports tournaments in the IMAX theatres that mimic the live experience. Walmart partnered with Esports Arena, the first dedicated esports facility in North America, to install esports venues in some Walmart stores. Running 13 locations as of March 2020, the Walmart Esports Arena hosts esports leagues and tournaments on weekday nights and weekends. People can pay \$5/hour to play the games or \$10 to participate in the league nights. Walmart also plans to roll out a semi-professional esports league – Series E – that is to be streamed out of Walmart Esports Arena and hosted on Walmart.com.

Thanks largely to Fortnite, the global gaming peripheral market reached \$4.1 billion in 2019.²² Gamers accessorize their PCs with high-performing processors and graphics cards, investing a lot into gaming gear that includes gamepads, keyboards, mice, and headphone/microphone combinations.

Traditional sports and media are also joining the esports economy. While streaming platforms are the major channel for esports audiences, traditional broadcasters are working to bring esports to national TV. In 2016, hoping to attract new and younger viewers, Turner Sports, a subsidiary of AT&T WarnerMedia, launched ELEAGUE, which hosts several esports tournaments and broadcasts them on TBS. The first season attracted 250,000 viewers per broadcast.

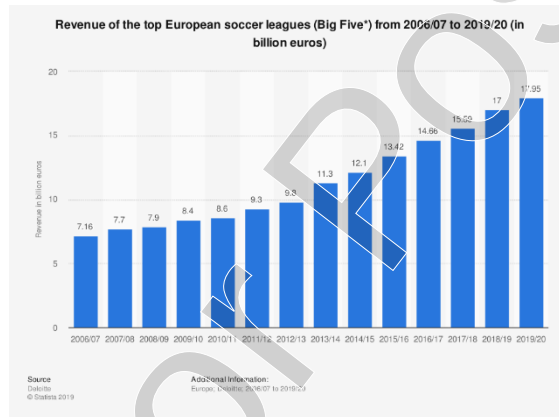
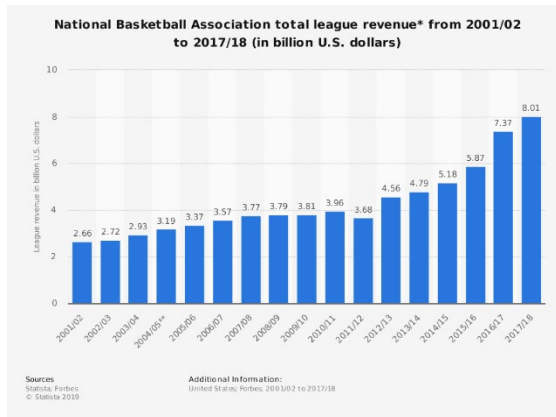
For professional sports leagues such as the NFL and NBA, esports is a brand-new opportunity to capture and generate new revenue. While these sports leagues still have healthy revenues from existing business (Exhibit 4), they seek future growth by tapping into noncustomers through esports leagues. The NBA 2K League recently announced a new team based in Shanghai, China, expanding the League's esports player pool and fan base with an emphasis on Asia.²³ The 2K League aims to become a global league that reaches audiences, players, and franchises beyond the traditional US market.

Exhibit 4. Growth of Professional Sports Leagues

²¹ Raleigh's largest esports event generates \$1.45 Million in economic impact and drives employment. (2019). Retrieved from <https://www.visitraleigh.com/media/press-release/post/raleighs-largest-esports-event-generates-145-million-in-economic-impact-and-drives-employment/>

²² Hordijk, R. (2019). Gaming peripheral market grows again in 2019: Headset revenues are slightly down, but growth is coming. Retrieved 26 January 2020, from <https://newzoo.com/insights/articles/gaming-peripheral-market-grows-again-in-2019-headset-revenues-are-slightly-down-but-growth-is-coming/>

²³ NBA 2K League. (2019). NBA 2K League announces Gen.G to launch Shanghai team. Retrieved from <https://2kleague.nba.com/news/gen-g/>



Source: Statista

Responding to the massive popularity of esports, the International Olympics Committee (IOC) has accepted esports as a sporting activity and is considering including esports games in future Olympics. In the 2018 Asian Games, esports was featured as a demonstration sport, running qualifications and awarding 18 medals over six video game titles (Arena of Valor, Clash Royale, Hearthstone, League of Legends, Pro Evolution Soccer, and StarCraft II). In late 2019, however, the IOC clarified its stance on esports as a potential Olympic sport, saying that it is not ready to support games that aren't based on traditional sports.

With regard to other electronic games, the Summit concluded that, at this stage, the sports movement should focus on players and gamers rather than on specific games. This focus on individuals should promote the participation in sport and its benefits as well as healthy lifestyle at all levels, including a health management model for elite esports competitors including both physical and mental health.

Declaration of the 8th Olympic Summit

Regardless of its formal stance on esports, the IOC showed its willingness to seek strategic partnership with esports key stakeholders to involve esports in the Olympic movement. While postponed due to the global outbreak of COVID-19, the Intel World Open competition was scheduled in July 2020, just before the 2020 Summer Olympics in Tokyo, co-hosted by Intel and the IOC. During the three-day final matches, seven national teams were supposed to compete in the game Street Fighter V and Rocket League.

Clearly the size and impact of esports have grown significantly over two decades, dispelling doubts as to whether esports can evolve into a profitable and sustainable business. The key distinctive difference of esports vis-à-vis traditional sports is that the fans of esports can be both players and spectators. It can create a positive loop between videogame and esports industries – as businesses create ever-better games and bundle those into ever-better tournaments, with gamers responding by spending more.

Discussion Questions

1. How was esports created from the online game industry? What key forces created and shaped the esports industry?

2. What is the logic and economic motivation behind creating a live event in a physical venue when online games can be played remotely? Who are the key players here and what are their business models?
3. According to Kim and Mauborgne's growth model for innovation, is the esports industry a disruptive creation or nondisruptive creation? Why or why not?
4. What are your proposed strategies for the future growth of esports?